Economic Influences on Confectionery Businesses

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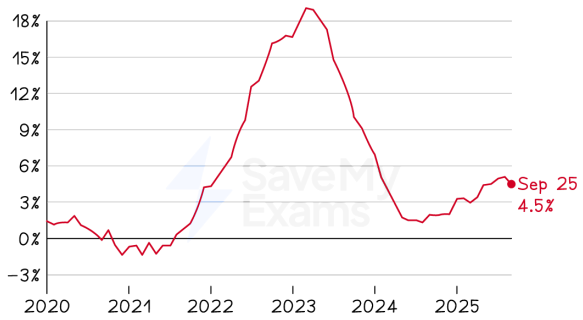
Inflation and confectionery businesses

- **Inflation is the situation when prices rise over time, reducing the value of money**
- Inflation affects confectionery and biscuit firms in two key ways
  - It raises **household living costs**, which changes demand
  - It increases **business costs**, which squeezes profit margins

Higher inflation

- UK CPI inflation was **3.2% in the year to November 2025**, which helps explain why many households remain price conscious
- During the inflation peak, ONS data shows food inflation was extremely high – **more than 19%% in March 2023** – which affected consumers' spending choices on snacks and treats

Food inflation in the UK



Source: Office for National Statistics

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Input cost inflation

- Input cost inflation affects the amount confectionery and biscuit businesses pay for ingredients, packaging, energy and transport

commodity prices (cocoa, sugar, dairy)
- UK **chocolate prices rose 15.4% in the year to August 2025**, with cocoa prices having roughly doubled over two years and cocoa around **$7,800 per tonne** at the time
- The **average price per kg of chocolate rose 27% over two years**, while **consumption fell 2%**, showing firms cannot always pass on all cost rises without losing sales

Fuel prices

- Rising **fuel prices** have also increased **transport and distribution costs**
  - Higher diesel and fuel costs raise the cost of moving raw materials to factories and finished products to retailers
- These higher logistics costs further squeeze profit margins, especially for small firms that lack efficient, large-scale distribution systems

How high inflation changes consumer behaviour

- When inflation is high and prices rise quickly, consumers do not usually stop buying confectionery and biscuits altogether
  - Instead, they **change how they buy**, as these products are seen as small, affordable treats rather than essential items
- Consumers respond by:
  - buying **smaller pack sizes** to keep the upfront price low
  - switching brands or waiting for promotions
  - reducing how often they buy treats rather than stopping completely
- This change in behaviour encourages businesses to adjust their strategies
  - Selling **smaller packs and affordable treat formats** at lower price points
  - Making greater use of **price-marked packs and short-term promotions** to reassure value-conscious shoppers
  - Expanding **premium product lines** for higher-income consumers who are less affected by rising living costs

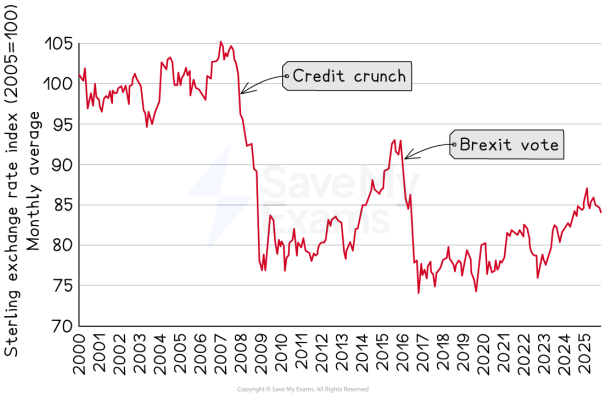
Help me understand

Exchange rates and confectionery businesses

- **The exchange rate is the value of one currency in terms of another**
  - Exchange rates matter because many key inputs (especially **cocoa**) are traded globally and priced in foreign currencies, often US dollars
  - When sterling depreciates, imported ingredients and packaging become more expensivefor UK-based

costs

- After the 2016 Brexit referendum, sterling experienced a sharp depreciation and increased volatility, which raised the cost base for import-reliant sectors
- For confectionery firms importing cocoa, a weaker pound can increase costs even if global cocoa prices stay the same



Sterling exchange rate index 2000 – 2025

Sterling appreciation can ease pressure

- If sterling strengthens, import costs can fall, giving firms more room to avoid price rises or rebuild margins

How businesses respond

- Larger multinationals are more likely to use financial hedging and global sourcing to manage currency risk
- Smaller firms may have fewer options, so they often respond by:
  - changing pack sizes
  - adjusting the product mix towards higher profit margin lines
  - making selective price rises (often easier in gifting/premium than in value market segments)

Interest rates and confectionery businesses

- **Interest rates are the percentage charged on money borrowed or earned on savings, set by banks and determined by the base rate**
  - Interest rates influence confectionery and biscuit businesses mainly through **consumer spending** and **business finance costs**
- The Base Rate was increased sharply to tackle inflation, peaking at **5.25% (August 2023)** before falling over 2024–2025 to **3.75% (December 2025)**

Bank of England base rates 2007 – 2023. Source: Statista

Impact on demand

- As interest rates rose sharply in **2022–2023**, many UK households faced higher **mortgage repayments and borrowing costs**
- This reduced disposable income and led consumers to become more price-conscious when buying everyday items, including biscuits and confectionery
  - Shoppers increasingly **traded down to supermarket own-label biscuits**, which are significantly cheaper than branded alternatives
  - Consumers relied more on **promotions and price-marked packs** for branded products
- Supermarkets such as **Tesco and Sainsbury's** expanded and promoted their own-label biscuit ranges during this period
- Branded producers such as **pladis (McVitie's)** faced stronger price competition and pressure on sales volumes

Impact on business strategy

- When the Bank of England raised interest rates sharply in **2022–2023**, borrowing became significantly more expensive
- For small confectionery and biscuit businesses operating on tight profit margins, this meant that planned investment was often **delayed or scaled back**
- As a result, some small producers have:
  - postponed investment in **new baking machinery** that would increase capacity or efficiency
  - delayed **new product development**, as recipe testing and small production runs require upfront funding
  - reduced spending on **marketing and brand awareness**, instead relying more on word-of-mouth and social media

Taxation, government spending and confectionery businesses

- **Government spending is money used to fund public services**
  - Examples include healthcare, education, and transport or supporting the economy

VAT and pricing

- VAT has a direct impact on prices and profitability in the confectionery and biscuit market
- Most basic foods are zero-rated, but confectionery is standard-rated at 20%, while biscuits are generally zero-rated unless they are chocolate-covered
- This distinction matters because VAT can:
  - increase final retail prices
  - reduce demand for VAT-rated products
  - squeeze profit margins if firms absorb some of the tax

Income tax and consumer demand

- Income tax affects the industry **indirectly** by influencing disposable income
- Since **2021, income tax thresholds have been frozen**, causing fiscal drag and reducing real household incomes during periods of high inflation
  - Consumers have become more price-sensitive
  - Demand has shifted towards **own-label products and promotions**, reducing demand for branded products
  - Spending on premium confectionery has become more polarised

Corporation tax and investment

- Corporation tax affects **profits and reinvestment**
- The main UK rate rose from **19% to 25% in April 2023**, while the **Small Profits Rate of 19%** applies to firms earning under £50,000
  - Higher corporation tax reduces retained profit for investment, which limits spending on machinery, product development and marketing

- Large multinationals are better able to absorb these costs, while **small confectionery and biscuit businesses face greater financial pressure**, which can slow growth

Government spending and support schemes

- **Business energy support**
  - During the **2023 energy price crisis**, the government introduced support schemes such as the **Energy Bills Discount Scheme**, which helped firms manage rising energy costs
    - This was particularly important for **energy intensive** confectionery and biscuit manufacturers because production involves baking, cooling, refrigeration, wrapping and storage

- **Public spending on health and education**

    - School food standards and public-sector catering rules can limit where confectionery and biscuits are sold
- **Infrastructure and transport spending**
    - Investment in roads, ports and logistics infrastructure can lower distribution costs and improve supply reliability
    - This benefits firms with national supply chains, particularly large manufacturers distributing to supermarkets
- **Business support and innovation funding**
    - Government grants and schemes for skills, apprenticeships and productivity can support investment in new machinery or training
    - Smaller firms benefit most where access is straightforward, though many lack awareness or capacity to apply

The business cycle and confectionery businesses

- **The business cycle is the regular pattern of growth and decline in an economy over time, including periods of boom, slowdown, recession and recovery**

Recent slow GDP growth shows the UK remains in the 'recovery' stage of the business cycle

Resilience, but not immunity

- Confectionery and biscuit markets tend to be **more resilient than many other sectors** over the business cycle because these products are often seen as **small, affordable treats**
    - During periods of **economic slowdown or recession**, consumers are more likely to cut back on big-ticket items such as holidays, cars or home improvements
    - They continue, however, to buy low-cost indulgences
- This resilience does **not mean immunity**
    - As the economy moves from **growth into slowdown or contraction**, consumer behaviour changes

        - switch to **cheaper brands or own-label products**
        - rely more heavily on **promotions and price-marked packs**
- Premium demand also becomes more **polarised** during downturns
    - Some higher-income consumers continue to trade up to premium or ethical products
    - Others trade down to value options, increasing pressure on mid-priced brands

Impact on small businesses

- Small confectionery and biscuit firms typically feel economic pressures **more sharply** because they have less scale and less financial cushion

Impact	Explanation
Inflation hits small firms harder	• They buy smaller quantities of ingredients and packaging, so they have less bargaining power when cocoa, sugar, dairy or energy prices rise • They may be forced to raise prices more quickly, risking demand loss
Exchange rate volatility is a bigger problem	• Smaller firms importing specialist ingredients face immediate cost rises when sterling weakens, and they are less likely to hedge currency risk
Higher interest rates squeeze investment	• More expensive borrowing makes it harder to invest in automation, marketing and growth, while cash flow becomes a bigger day-to-day concern
Tax and compliance can be costly	• Product classification for VAT (especially for borderline items like chocolate-coated biscuits) can create admin costs and risk for small firms without specialist tax advice

Small firms can still find opportunities	• Premium, ethical and gifting niches can tolerate price rises better than value segments, so many small firms lean into:
	  ○ quality stories and provenance
	  ○ seasonal gifting
	  ○ direct-to-consumer online sales (better margins than wholesale)

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